Fee Based on AUM: The fee based on assets under management (AUM) is the most common form of advisory fee, representing 85% of advisory-firm revenue.[17] Fees based on AUM predominate in institutional settings. The problem with fees set as a percentage of assets is that if the market does well, the AUM grows even if the agent does nothing. Why should the asset owner pay for time and effort *not* spent with the advisor or fund manager?

The history of AUM-based fees is interesting. The first independent investment adviser, Arthur Clifford, began his practice in Pasadena, California, in 1915 and charged *fixed* fees for his services.[18] This was in contrast to the commission-based fees, which brought large conflicts of interests. Across the country, in Boston, Theodore Scudder started Scudder, Stevens & Clark in 1919 to provide independent advice to clients. It charged fees of 1% of all transaction amounts—a commission-based scheme. Scudder found this did not generate enough revenue and was contrary to the firm's philosophy as it encouraged churning. So he switched to the much more profitable model of charging a *proportional* 1% fee on assets. In both cases, Clifford and Scudder were revolutionary because everyone else was charging commission-based fees. For a long time investment advice by commission-free advisors was limited to wealthy clients. Unfortunately, it was Scudder's proportional fees rather than Clifford's fixed fees that became the model for the industry.

Institutions paid fees largely based on (mainly brokerage) commissions up until the 1960s. At that time, a few institutions did charge 1% but offset those fees with brokerage commissions.[19] The Morgan Bank took the lead in charging fees of 0.25% of assets in the late 1960s, and it was predicted that Morgan would lose business. Only one account actually left, and Morgan became a leader for the whole industry. Gradually the proportional fees started ratcheting upward (rather than downward, as might have been expected from competition) to current levels.

Today fees based on AUM are high at 1% for individuals and a little less than 50 basis points for institutions. As Charles Ellis (2012) says, "investors already own those assets, so investment management fees should really be based on what investors are getting in the returns that managers produce." In the context of agency theory, Ellis is saying the fixed fee to induce agent participation is way out of line. But the incentive fee reflecting the value truly added by the agent is much too low. An investor would be fine paying large fees, if those fees resulted in added performance that increases the AUM, rather than fees that immediately reduce AUM. For institutions especially, this means that more fees should be incentive based and fees based on AUM should be much, much smaller. Individuals

[17] Survey by FA Insight of Tacoma in 2010. Reported in "How to Pay Your Financial Adviser," *Wall Street Journal*, December 12, 2011.

[18] This is drawn from Charles Schwab's 2007 book, *The Age of Independent Advice: A Remarkable History*.

[19] See Ellis (2012).